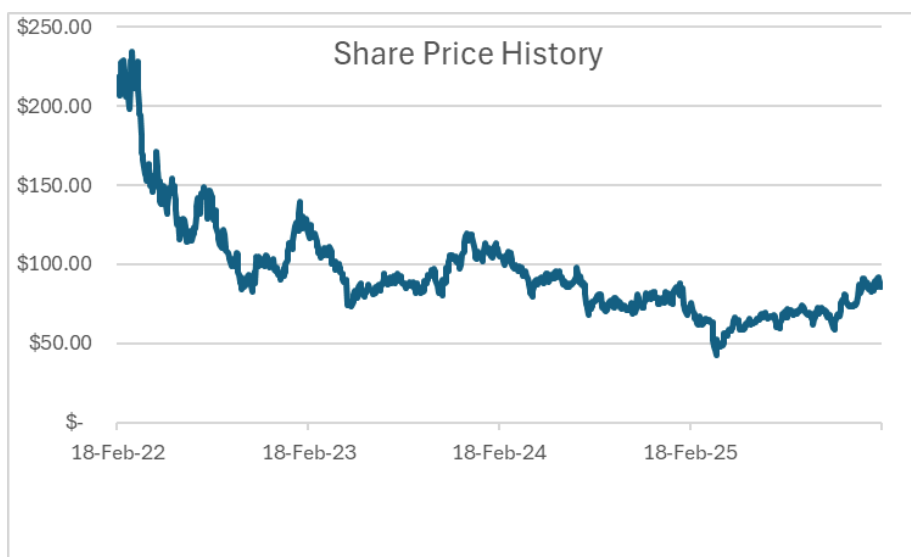


Synaptics Incorporated (Ticker: NASDAQ: SYNA)

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Recommendation: **Hold**

Synaptic s Inc. (NYSE: SYNA)	
Share Price (as of 2/16/26)	\$90.81
Shares Out.	38.73
Market Cap	\$3,520
Cash	\$437
Debt	\$882
TEV	\$3,964
FY24 EBITDA	\$ 179.20
EV / FY24 EBITDA	\$22.12
Base Case Valuation Summary:	
FY27 EBITDA:	268.07
Target Multiple	15.0x
EV	\$4,021
Net Debt	\$444
Market Cap	\$3,577
Shares Out.	38.73
3-Year Price Target	\$92.35
Total Return:	2%
IRR	1%



Executive Summary

Synaptics is a neural network technologies and computer-to-human interface devices development company. Founded in 1986, Synaptics is headquartered in San Jose, California. The company is currently undergoing a cyclical recovery period following a severe inventory correction in FY23-FY24. The business has periodically shifted from the mobile exposure industry, and migrated towards the IoT, enterprise, and automotive connectivity market for higher margins. Synaptic While margins are poised to recover and free cash flow conversion remains strong, current valuation already reflects normalized earnings power. Synaptics has since bounced back led by new CEO Rahul Patel, appointed May 21, 2025. He has previously worked at Qualcomm and Broadcom, and looks to focus on Edge AI, connectivity, and IoT solutions. Synaptics currently is at \$90.81 per share, trading at ~15x FYE27 EBITDA and ~28x FY27E EPS under base case assumptions. Our blended valuation implies \$99 per share (~9% upside, 3% IRR). Risk/reward appears balanced unless margins expand meaningfully beyond 23% or the business re-rates toward peer multiples.

Business Overview

Synaptics designs mixed-signal semiconductor solutions for IoT, enterprise, automotive, and PC markets. The company historically derived the majority of revenue from mobile devices but has repositioned toward, Enterprise & Automotive connectivity, Core IoT applications, Edge AI-enabled processing, and PC interface solutions FY24 revenue declined 29% due to semiconductor inventory digestion and demand weakness. However, the mix has improved structurally, with gross margins stabilizing near 50%. The company operates a capital-light, fabless model with strong free cash flow conversion and modest leverage.

In the past few years, Synaptics has made lots of positive improvements, and has exceeded analysts' expectations. After it's 2023 correctional period, Synaptics has become

Investment Thesis

1. **Structural Mix Shift Improves Margin Profile:** Gross margin improved from ~30% in FY17 to ~46–50% structurally post-IoT pivot. The business is now less exposed to commoditized mobile end markets and better positioned in enterprise and automotive applications. We project; Revenue CAGR (FY24–FY29), ~8%, EBITDA margin expansion from 19% to 23%, and FCF margin reaching ~16% by FY29. However, these improvements appear largely priced in.
2. **Strong Free Cash Flow Conversion** Synaptics generates high free cash flow due to Capex ~2% of revenue, limited working capital intensity, and operating leverage in recovery. FY27 FCF projected at ~\$184mm (~14% margin), implying mid-teens FCF yield at normalized valuation. Balance sheet remains manageable with projected net leverage <0.5x by FY27.
3. **Cyclical Recovery Underway, But Not Deep Value** Revenue troughed in FY24 at \$959mm. We model recovery to, FY27 revenue: \$1.28B, FY27 EBITDA: \$268mm (21% margin), FY27 EPS: \$3.17, applying a 15x multiple to FY27 EBITDA yields a \$92 price target — effectively in line with today's price. This suggests the stock is already discounting mid-cycle normalization.
4. **Positive Leadership Changes:** Half of all senior leadership has joined the company within the last 3 years, and the majority post 2023. Synaptics saw a notable rally in 2026, Q2 fiscal 2026 results showed revenue and earnings per share above consensus expectations, with revenue up year-over-year and profits beating estimates. Core IoT product sales surged significantly, an important growth engine for the company. The stock price has seen a 22.7% increase since the start of 2026.

Management Team and Board of Directors

Rahul Patel is the President, Chief Executive Officer, and Director of the company. He was appointed to the role in May of 2025. Prior to Synaptics, he spent a decade at Qualcomm, most recently as Senior Vice President and Group General Manager of Connectivity, Broadband, and Networking Group. There, he was responsible for overseeing a multi-billion-dollar portfolio wireless networking and connectivity business. Patel spent 13 years in various senior leadership roles at Broadcom, serving as Senior Vice President and General Manager. Patel has a Bachelors in Electronics and Communications Engineering from NIT, Warangal, India, a Masters in Computer Science & Engineering from Arizona State University, and an MBA in Marketing & Finance from Santa Clara State University.

Ken Rizvi is a Senior Vice President and Chief Financial Officer at Synaptics. Prior to his role at the company, he was the Senior Vice President and Chief Financial Officer of SMART Group Holdings, Computer Science & Engineering from Arizona State University, and an MBA in Marketing & Finance from Santa Clara State University. He has also served as Senior Vice President and Chief Financial Officer at Isola Group, a global material science company. He has served senior financial roles at Micron and ON Semiconductors. He holds an Executive Master of Business Administration from the W.P. Carey School of Business at Arizona State University and a Bachelor of Arts in Economics from Yale University.

Lisa Bodensteiner is a Senior Vice President and Chief Legal Officer and Secretary since 2023. Previously, she was Executive Vice President, Chief Legal Officer, Compliance Officer and Corporate Secretary of Plantronics, Inc., a Principal with MDAC, LLC, a family-owned real estate company, and Executive Vice President, General Counsel and Chief Compliance Officer at SunPower Corporation, a global provider of solar power solutions. She holds a Juris Doctor degree from Santa Clara University School of Law and a Bachelor of Science in Business Administration in Accounting from the University of Nevada.

Javier del Prado has been with Synaptics since 2025, and serves as the Vice President of Global Operations. Javier spent 12 years at Qualcomm, working as Vice President and General Manager of the Mobile Connectivity Division, where he led a multi-billion-dollar business and drove the connectivity client roadmap. Before Qualcomm, Javier held multiple leadership roles at ST-Ericsson, NXP, and Philips. Javier holds a Master's Degree in Telecommunication Engineering from Universitat Politècnica de Catalunya and a Master's Degree in Telecommunications Networks from Polytechnic University of NY.

Valuation

	Base	Bull	Bear
	FY2027	FY2027	FY2027
Revenue	\$1,277	\$1,400	\$1,150
3yr Growth	33.06%	45.92%	19.87%
Adj. EBITDA	\$268	\$350	\$200
Margin	21.00%	25.00%	17.39%
FCF	\$184	\$245	\$120
Margin	14.42%	17.50%	10.43%
Conversion	68.65%	70.00%	60.00%
EBITDA Multiple	15.0x	17.5x	12.0x
EV	\$3,577	\$6,125	\$2,400
Net Debt	\$444	\$444	\$444
Equity Value	\$4,021	\$5,681	\$1,956
Sh. Out.	38.73	38.73	38.73
Price Target	\$92.35	\$146.67	\$50.49
Upside/Downside	2%	62%	-44%
IRR	1%	17%	-18%
Risk/Reward vs Bear Case	-0.04x	-1.39x	

The **base case** assumes Synaptics executes a moderate cyclical recovery but does not fully retain prior peak profitability. Revenue grew from \$959mm in FY24 to \$1.28B by FY27, representing approximately 33% cumulative growth over three years (~8% CAGR). EBITDA margin expands to 21%, driven by a normalization in enterprise and IoT demand, gross margin stabilization near 50%, and operating leverage as revenue recovers. Applying a conservative 15x FY27 EBITDA multiple, below the broader semiconductor peer average, yields an enterprise value of ~\$4.0B and an equity value of ~\$92 per share. This implies approximately 2% upside from current levels and a 1% IRR.

The **bear case** assumes recovery stalls following the inventory correction, with revenue reaching only ~\$1.15B by FY27. EBITDA margins recover modestly to 17%, reflecting continued pricing pressure or slower enterprise demand normalization. Applying a trough-style 12x EBITDA multiple results in an equity valuation of roughly \$50 per share, representing ~44% downside and an -18% IRR. This scenario reflects a prolonged semiconductor downcycle or failure to sustain margin improvement.

The **bull case** assumes Synaptics benefits from stronger tailwinds in IoT, enterprise connectivity, and edge AI adoption. Revenue reaches ~\$1.4B by FY27 (46% cumulative growth vs FY24), while EBITDA margins expand to 25%, reflecting better product mix, pricing stability, and higher incremental margins as operating expenses scale slower than revenue. Under this scenario, applying a 17.5x EBITDA multiple,

closer to higher-quality mixed-signal peers and reflecting improved growth visibility, produces an equity valuation of approximately \$147 per share, implying ~62% upside and a 17% IRR. This case requires the market to view Synaptics less as a cyclical recovery story and more as a structural growth platform.

Ticker	Name	Last Price	USD Market Cap	USD EV	Ann. Total Return 10-Yr	5-Yr	1-Yr	% Chg 1Yr	% Chg YTD	USD Sales	1Yr Sales GR	EV to EBITDA T12M	EV / EBITDA Cmt Yr	NY	2Y	Price to Earning T12M	P/E Cmt Yr	NY	2Y	EBIT Margin 3YrAvg	EBIT Margin T12M	Dvd Yield	Lev
SLAB	SILICON LABORATORIES	\$207.27	\$6.83	\$6.41	18%	6%	35%	38%	59%	\$784.76	34.29%	0.0x	-32.5x	N/A	N/A	-104.16	\$76.48	\$50.07	N/A	N/A	-1.56%	N/A	12.94
NXPI	NXP SEMICONDUCTOR	\$244.43	\$61.52	\$70.47	12%	6%	2%	11%	13%	\$1,227.00	-2.74%	17.0x	4.1x	N/A	N/A	\$92.59	\$82.02	\$14.59	N/A	N/A	24.74%	1.66%	2.17
ON	ON SEMICONDUCTOR	\$72.21	\$24.45	\$28.91	24%	12%	2%	42%	33%	\$6,000.00	-15.35%	16.5x	1.8x	N/A	N/A	\$249.00	\$24.81	\$17.96	N/A	N/A	12.53%	N/A	0.4
AVGO	AVAGO TECHNOLOGIES	\$325.17	\$1,540.00	\$1,590.00	38%	46%	40%	38%	-6%	\$63,890.00	26.16%	45.4x	35.0x	N/A	N/A	\$68.03	\$31.66	\$22.49	N/A	N/A	31.76%	1%	0.84
QCOM	QUALCOMM	\$140.70	\$150.13	\$153.12	11%	1%	-19%	-18%	18%	\$44,870.00	-7.34%	11.1x	13.8x	N/A	N/A	\$28.31	\$12.62	\$12.44	N/A	N/A	27.20%	2.53%	0.22
	Comp Group Average	\$197.96	\$356.59	\$369.78	20%	14%	12%	22%	23%	\$23,354.35	7%	18.0x	4.4x	N/A	N/A	\$66.75	\$45.52	\$23.51	N/A	N/A	19%	2%	\$3.31
	Comp Group Median	\$207.27	\$61.52	\$70.47	18%	6%	2%	38%	18%	\$6,000.00	-3%	16.5x	4.1x	N/A	N/A	\$68.03	\$31.66	\$17.96	N/A	N/A	25%	2%	\$0.84
SYNA	SYNAPTICS INCORPORATED	\$90.81	\$3.52	\$3.92	\$0.02	(\$0.07)	23%	25%	23%	\$1,140.00	19.28%	42.15x	0.09x	N/A	N/A	(\$57.11)	\$20.50	\$17.17	N/A	N/A	-4.96%	N/A	4.77

Risks

1. Margin recovery stalls below 20%
2. IoT growth underperforms expectations, as the company relies on this sector the most to continue growth
3. Competitive pricing pressure compresses gross margins
4. Semiconductor demand remains cyclical and volatile

Financials

	FY2021	FY2022	FY2023	FY2024	FYE2025	FYE2026	FYE2027	FYE2028	FYE2029
Revenue	1339.6	1739.7	1355.1	959.4	1055.34	1181.9808	1276.539264	1353.13162	1420.788201
Growth		30%	-22%	-29%	10%	12%	8%	6%	5%
Gross Profit	611.20	943.10	715.90	439.80	496.01	579.17	638.27	676.57	710.39
Margin	46%	54%	53%	46%	47%	49%	50%	50%	50%
SG&A	144.90	168.40	175.00	161.30	147.75	153.66	153.18	155.61	156.29
Margin	11%	10%	13%	17%	14%	13%	12%	12%	11%
EBITDA	\$346	\$607	\$474	\$179	\$169	\$225	\$268	\$298	\$327
Margin	26%	35%	35%	19%	16%	19%	21%	22%	23%
D&A	131.70	147.50	157.80	109.20	84.43	88.65	89.36	94.72	99.46
Margin	10%	8%	12%	11%	8%	8%	7%	7%	7%
Operating Income	\$147	\$350	\$154	(\$102)	\$38	\$117	\$168	\$201	\$219
Margin	11%	20%	11%	-11%	4%	10%	13%	15%	15%
Interest Expense	26.6	27.2	28.3	23	63.245	60.8125	55.9475	53.515	51.0825
EBT	120.10	320.50	126.00	-124.60	37.77	117.02	167.72	200.74	219.33
Tax	\$36.75	\$87.60	\$38.58	(\$25.40)	\$9.44	\$29.25	\$41.93	\$50.18	\$54.83
Net Income	\$83.35	\$232.90	\$87.43	(\$99.20)	\$28.33	\$87.76	\$125.79	\$150.55	\$164.49
Sh. Out.	38.3	40.2	40.7	39.7	39.7	39.7	39.7	39.7	39.7
EPS	\$2.18	\$5.79	\$2.15	(\$2.50)	\$0.71	\$2.21	\$3.17	\$3.79	\$4.14
FCF	\$166.15	\$320.80	\$336.23	\$111.70	\$46.90	\$145.08	\$184.04	\$211.86	\$230.49
Net Leverage	-0.26x	0.13x	0.26x	0.11x	0.70x	0.44x	0.36x	0.32x	0.29x